

<u>Year</u>	<u>Cash Flow</u>	<u>Cumulative Cash Flow</u>
0	-\$2,000	
1	\$375	\$375
2	\$375	\$750
3	\$375	\$1,125
4	\$375	\$1,500
5	\$375	\$1,875
6	\$375	\$2,250
7	\$375	\$2,625
8	\$375	\$3,000
9	\$375	\$3,375
10	\$375	\$3,750

Question 1

Calculate the Payback Period

Question 2

Calculate the Discounted Payback Period using discount rate of 10%

<u>Year</u>	<u>Cash Flow</u>	<u>Discounted Cash Flow</u>	<u>Cumulative Cash Flow</u>
0	-\$2,000		
1	\$375	\$340.91	\$340.91
2	\$375	\$309.92	\$650.83
3	\$375	\$281.74	\$932.57
4	\$375	\$256.13	\$1,188.70
5	\$375	\$232.85	\$1,421.55
6	\$375	\$211.68	\$1,633.22
7	\$375	\$192.43	\$1,825.66
8	\$375	\$174.94	\$2,000.60
9	\$375	\$159.04	\$2,159.63
10	\$375	\$144.58	\$2,304.21